

ECONOMICS PAPER 2
(Mock Test 38)
Question-Answer Book

Time allowed: 1 hour 30 minutes
This paper must be answered in English

INSTRUCTIONS

- (1) After the announcement of the start of the examination, you should first write your Candidate Number in the space provided on Page 1 and stick barcode labels in the spaces provided on Pages 1, 3, 5, 7, 9, 11 and 13.
- (2) This paper consists of two sections, A and B. Answer ALL questions in sections A and B.
- (3) Write your answers in the space provided in this Question-Answer Book. Do not write in the margins. Answers written in the margins will not be marked.
- (4) Supplementary answer sheets will be supplied on request. Write your candidate number, mark the question number box and stick a barcode label on each sheet, and fasten them with string INSIDE this book.
- (5) No extra time will be given to candidates for sticking on the barcode labels or filling in the question number boxes after the ‘Time is up’ announcement.

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Candidate Number									
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Marker's Use Only	
Marker No.	
Question No.	Marks
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Total	

Section A (30 marks)

1. Firm A operates a steelmaking business, which requires the use of iron ore in the production process.

- (a) State the type of factor of production the iron ore used by firm A in production belongs. (1 mark)

- (b) Firm A is considering to increase its output. However, there is a severe shortage in the iron ore market.

Explain how this will affect firm A's opportunity cost of increasing its output. (3 marks)

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2. To encourage the public to receive the seasonal influenza vaccination, the government provides a free vaccination service to eligible persons, including seniors aged 50 and above, pregnant women and children.
- (a) Explain whether the free vaccination service is a free good. (2 marks)
- (b) A doctor suggests that the government extend the free seasonal influenza vaccination service to all individuals willing to be vaccinated. In terms of externality, explain how the suggestion could improve economic efficiency. (4 marks)
- (c) 'Providing more vaccination services can reduce government expenditure on public health.' Explain whether this is a positive statement or a normative statement. (2 marks)

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3. The Toyosu Market (豊洲市場) in Tokyo, Japan, is a large wholesale seafood market that also features many sushi restaurants.

(a) Give **ONE** reason to explain why a sushi restaurant in the Toyosu Market may

(i) enjoy external economies of scale. (2 marks)

(ii) suffer from external diseconomies of scale. (2 marks)

(b) The owner of a sushi restaurant said, 'Even if the rent increases, I will not change the number of sushi sets served every day.' Explain the sushi restaurant owner's output decision with reference to the profit-maximising condition under perfect competition. (3 marks)

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4. To ensure the sustainable development of marine ecosystems, Country A has announced the imposition of an effective catch limit (quota) on fish catches. Suppose the diet of the people in Country A is primarily based on fish. Explain why the total exchange value of fish will increase. (5 marks)

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5. A shop launched a new handbag available in limited quantities. However, some of these handbags were destroyed in a fire.
- (a) With the aid of a demand-supply diagram, explain how this would affect the consumer surplus in the market of the limited edition handbag. (5 marks)
- (b) Indicate the change in total social surplus in the diagram in (a). (1 mark)

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END OF SECTION A

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Section B (40 marks)

6. Read the following news excerpt.

To help meet the housing needs of young people and support their development, the government has launched a subsidy scheme to subsidise non-governmental organisations in renting hotels and guesthouses and converting rooms into youth hostels for eligible young people.

Individuals applying to live in these youth hostels must meet certain criteria, including being employed, being a Hong Kong permanent resident aged 18 to 30, and not owning any residential property in Hong Kong. The government and the non-governmental organisations managing the youth hostels will provide various support and training activities for the young people staying there, such as entrepreneurial training and mental wellness development.

- (a) Give **ONE** reason to explain why young people who rent rooms in youth hostels do not have a full set of private property rights over the rooms they rent. (2 marks)
- (b) Explain which **TWO** basic economic problems are related to the above information. (4 marks)
- (c) Explain how the above scheme will affect the occupational mobility of young people living in youth hostels. (3 marks)

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7. Original Factory is a food production factory that produces various desserts and supplies them to different restaurants. The firm is a legal entity and the ownership of the firm cannot be freely transferred.
- (a) Explain which type of production Original Factory engages in. (2 marks)
 - (b) Which type of business ownership does Original Factory belong to? Apart from the features of legal status and transfer of ownership, list **ONE** other feature of this type of business ownership. (2 marks)
 - (c) After doubling the scale of production, Original Factory's average cost of production decreased. Suggest **TWO** reasons for the above change in average cost. (2 marks)
 - (d) Suppose the owner of Original Factory hopes to ensure a stable market outlet for its products through internal expansion. Which type of expansion should it engage in? Give **ONE** example to explain how this type of expansion can help achieve the above objective. (3 marks)
 - (e) The chefs of Original Factory are paid by time rate. From the viewpoint of the employer, state **ONE** advantage and **ONE** disadvantage of this wage payment method over piece rate. (2 marks)

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8. The tourism industry is one of the traditional pillar industries of Hong Kong, with hotels and guesthouses serving many tourists who visit the city each year.

Source A: News report on re-imposing Hotel Accommodation Tax (HAT)

The Hong Kong SAR Government has kept the HAT tax rate at 0% since 1 July 2008. In the 2024-25 Budget, the government proposed to reintroduce the HAT. Starting from 1 January 2025, the HAT tax rate will be set at 3% of the room rate.

Taking high tariff A hotels as an example, the average room rate per night is around \$2,350, and HAT payable for accommodation per night is around \$70; while for medium tariff hotels, the average room rate per night is around \$730, and HAT payable for accommodation per night is around \$22.

(Source: Inland Revenue Department, HKSAR Government; Hong Kong Tourism Board, HKSAR Government)

Source B: Data on Hong Kong hotels in September 2024

Number of hotel rooms	Hotel room occupancy rate
91,961	81%

(Source: Hong Kong Tourism Board, HKSAR Government)

Source C: Some views on the tourism industry

 A commentator	The imposition of HAT may not necessarily result in an increase in the total expenditure on hotel accommodations by overseas tourists during their stay in Hong Kong.
 A tourist	Hotel room rates in Hong Kong are much higher than those in neighbouring areas (such as Shenzhen). Unless this gap significantly narrows, I would choose to stay in a hotel in a neighbouring area overnight after visiting Hong Kong.
 A member of the hotel industry	Hotels need to hire many workers for various positions, such as front desk receptionists, housekeeping staff, laundry service workers, etc. At current wage levels, some hotels find it difficult to hire enough staff to provide hotel services. If there is a severe shortage of staff, they cannot offer services to guests, even if there are vacant rooms available.

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- Refer to Source A. Give **ONE** reason to explain why the market structure of the hotel industry in Hong Kong is **NOT** perfectly competitive. (2 marks)
- Illustrate the phenomenon in the hotel market shown in Source B in a demand-supply diagram. (3 marks)
- Refer to Sources A and B. Justify the view of the commentator in Source C with reference to the concept of price elasticity of demand/supply. (3 marks)
- Refer to the view of the member of the hotel industry in Source C. Which economic principle is illustrated by the hotels' work arrangements? State **TWO** reasons why such arrangements can increase labour productivity. (3 marks)

For part (e), candidates are required to present their answer in essay form. Criteria for marking will include use of sources and economic theories, relevant content, logical presentation and clarity of expression.

- (e) Suppose there are two proposals to support the hotel industry.

Proposal I	Distributing HK\$100 accommodation vouchers to overseas tourists that can only be used in Hong Kong hotels
Proposal II	Relaxing the restrictions on the importation of low-skilled foreign workers by the Hong Kong hotel industry

With reference to the above sources and your own knowledge in Economics, discuss the effects of the above two proposals on Hong Kong, including:

- profits of local hotels
- income distribution

(9 marks)

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